



**IN THE MATTER OF WORLD APP
PROCESSING OF PERSONAL
INFORMATION**

CID CDO 25-001

For: Violation of the
Data Privacy Act of
2012

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RESOLUTION

BELARMINO, D.P.C.;

In his book *The Five Types of Wealth*, Sahil Bloom wrote, “What gets measured gets managed.” The collection, storage, and management of biometric data such as iris scans entail not mere measurement but dominion over human identity. The Philippine Data Privacy Act of 2012 requires that such processing observe, among others, the principles of proportionality (gathering only what is strictly necessary), and consent (ensuring that participation is informed, voluntary, and specific). Failure to meet these standards erodes public trust and violates the dignity that data protection seeks to uphold.

Facts

On 07 May 2025, the Complaints and Investigation Division (CID) submitted its application for the issuance of a Cease and Desist Order (CDO) against Tools for Humanity Corporation (TFH) in relation to the latter’s data privacy practices and processing of personal data in their application called “World App” and through their device called the “Orb”, allegedly violative of the General Data Privacy Principles under Section 11 and the Rights of the Data Subjects under Section 16 of Republic Act 10173, otherwise known as the Data Privacy Act of 2012 (DPA).¹

¹ Application for the Issuance of the Cease and Desist Order dated 07 May 2025.

On 09 May 2025, the Commission issued a Minute Resolution dated 08 May 2025 requiring TFH to comment on the CID's application for a CDO and for the parties to appear before the Commission for a Clarificatory Hearing on 23 May 2025.²

On 19 May 2025, the Commission received a letter from TFH which provided an overview of the World Project and the World App.³

On 23 May 2025, the Clarificatory Hearing was conducted as scheduled.⁴ On 29 May 2025, the Commission issued the Minute Resolution dated 23 May 2025 directing TFH to submit relevant materials and documentation relating to the data processing practices involved in the operation and use of the World App and the Orb, as discussed in the Clarificatory Hearing conducted.⁵

On 08 June 2025, TFH submitted its Response to the Minute Resolution dated 23 May 2025 providing relevant documents requested during the Clarificatory Hearing.⁶

On 30 June 2025, through electronic mail, TFH informed the Commission that they were in the process of undertaking updates to their Privacy Policy.⁷ On the same date, they sent another email requesting an additional 30-day extension to supplement its earlier submission with updated and additional information.⁸

On 03 July 2025, in response to TFH's email request dated 30 June 2025, the Commission issued the Minute Resolution partially granting TFH a non-extendible period of fifteen (15) calendar days from receipt of the Order to submit to the Commission any additional documents it deems necessary.⁹

² Minute Resolution CID CDO No. 25-001, dated 08 May 2025.

³ Letter dated 19 May 2025 signed by TFH in relation to CID CDO No. 25-001.

⁴ Clarificatory Hearing CID CDO No. 25-001, Adju-25-00178, 23 May 2025.

⁵ Minute Resolution dated 23 May 2025, CID CDO 25-001.

⁶ TFH Response Letter dated 08 June 2025 in compliance to Minute Resolution dated 23 May 2025.

⁷ See email from NM dated 30 June 2025 at 12:43 pm.

⁸ See email from NM dated 30 June 2025 at 6:23 pm.

⁹ Minute Resolution dated 08 May 2025, CID CDO 25-001.

On 18 July 2025, the Commission received TFH's submissions through electronic mail, including a document captioned as "Supplemental Comment/Opposition" dated 18 July 2025.¹⁰

On 04 August 2025, the Commission issued the Minute Resolution directing the CID to submit any documents deemed necessary in relation to its application for a CDO within a non-extendible period of fifteen (15) calendar days from receipt of the Order.¹¹

On 20 August 2025, the CID filed a Comment with Annexes dated 18 August 2025.¹² Pursuant to the Minute Resolution dated 04 August 2025, the case was deemed submitted for the decision of the Commission.¹³

On 06 October 2025, the Commission issued the CDO dated 23 September 2025.¹⁴ Pursuant to this, on 08 October 2025, the Enforcement Division (EnD) issued a Compliance Letter to TFH.¹⁵

On 11 October 2025, WCPH Corporation (WCPHC) submitted a letter in response to the abovementioned Compliance Letter.¹⁶ On even date, TFH likewise submitted a Response Letter dated 11 October 2025.¹⁷

Now, before this Commission is the compliance of TFH, received last 16 October 2025¹⁸, to the CDO dated 23 September 2025¹⁹. The CDO was issued by this Commission on the ground of TFH's data privacy practices and processing of personal data in violation of the General

¹⁰ TFH's Supplement Comment/Opposition (To the National Privacy Commission [NPC] Complaints and Investigation Division's [CID] Application for Issuance of Cease-and-desist Order dated 07 May 2025) dated 18 July 2025.

¹¹ Minute Resolution dated 04 August 2025, CID CDO No. 25-001.

¹² NPC CID's Comment (to the 19 May 2025, 8 June 2025, and 18 July 2025 Submissions and all and the declarations made by Tools for Humanity during the Clarificatory Hearing and Onsite Visit Conferences) dated 18 August 2025.

¹³ Minute Resolution dated 04 August, CID CDO No. 25-001.

¹⁴ Cease and Desist Order dated 23 September 2025 CID CDO No. 25-001.

¹⁵ NPC Enforcement Division Compliance Letter to TFH dated 08 October 2025.

¹⁶ TFH's response letter dated 11 October 2025 to NPC Enforcement Division Compliance letter dated 08 October 2025

¹⁷ *Id.*

¹⁸ Electronic Filing, sent to adjudication@privacy.gov.ph on 16 October 2025 at 10:17pm.

¹⁹ Cease and Desist Order (CDO) In the matter of World App Processing of Personal Information dated 23 September 2025.

Data Privacy Principles under Section 11²⁰ and the Rights of Data Subjects under Section 16 of the DPA²¹.

The dispositive portion of the CDO dated 23 September 2025 is as follows:

WHEREFORE, premises considered, TFH, and its local operator WCPH Corporation, is hereby **ORDERED** to **CEASE** and **DESIST** from the processing of personal information within the Philippines through the Orb and the World App.

This Cease and Desist Order covers the following:

1. **Making the World App available for download**, whether through the Apple App Store, Google Play Store, or any other platform, and from any further use of the same within the jurisdiction of the Philippines;
2. **Conducting any form of identity verification using the Orb device in all verification locations**, including but not limited to biometric scanning, registration, or processing activities associated with World ID; and
3. **Transferring, disclosing, or in any manner sharing any personal data** that it has already collected or processed prior to the issuance of this Cease-and-Desist Order.

Additionally, TFH is **ORDERED** to **SUBMIT** the total number of Filipinos registered in the World App and verified through the Orb and to **SUBMIT** all the locations where they are currently operating.

Further, in accordance with Section 9 of NPC Circular No. 20-02, TFH is hereby **ORDERED** to **SUBMIT** a comment on the Order and to file the same within ten (10) days from receipt hereof.

Finally, the Enforcement Division of the NPC is hereby tasked to ensure the implementation of this Order no later than seventy-two (72) hours from receipt of TFH and to submit to the Commission a report within forty-eight (48) hours after the completion of the implementation.

²⁰ An Act Protecting Individual Personal Information in Information and Communications Systems in the Government and the Private Sector, Creating for this Purpose a National Privacy Commission, and for Other Purposes [Data Privacy Act of 2012], Republic Act No. 10173, Section 11, Chapter III (2012).

²¹ *Id* at Section 16.

This Order is **immediately executory upon receipt** and shall remain in effect until lifted or modified by the Commission.

SO ORDERED.²²

In compliance with the CDO above, TFH submitted two (2) versions of their Verified Comment, Confidential and Non-Confidential, dated 15 October 2025²³ and received by the Commission last 16 October 2025²⁴. On the procedural aspect, they argued therein that they demonstrated good faith compliance through the submitted verification and corporate authorizations.²⁵ They also asserted that the requirement of a verification and board authorization should not be strictly applied in CDO proceedings.²⁶ Moreover, they contended that the Commission had no authority to order the takedown of World App through a CDO.²⁷

On the substantive aspect, TFH argued in their Comment that first, they ensured the consent they obtained from data subjects in the Philippines met the standard required under the DPA.²⁸ They stated that the consent they obtained from the data subjects was specific, granular, freely given, and informed.²⁹

Second, TFH claimed that the privacy notice was made before the issuance of the CDO and to uphold transparency within the meaning of the Philippine privacy law.³⁰ They also said that they updated their DPIA as well to reflect the change in their controllership structure.³¹ Furthermore, they stated that they had previously revised their biometric consent process to ensure freely given, specific, and informed consent consistent with Philippine standards.³²

²² Cease and Desist Order (CDO) In the matter of World App Processing of Personal Information dated 23 September 2025.

²³ TFH's Comment dated 15 October 2025, in compliance with NPC CDO dated 23 September 2025.

²⁴ Electronic Filing, sent to adjudication@privacy.gov.ph on 16 October 2025 at 10:17pm.

²⁵ TFH's Comment dated 15 October 2025, at par. 51, in compliance with NPC CDO dated 23 September 2025.

²⁶ *Id* at par. 53.

²⁷ *Id* at par. 67.

²⁸ *Id* at par. 74.

²⁹ *Id* at par. 75.

³⁰ *Id* at par. 127.

³¹ TFH's Comment dated 15 October 2025, at par. 139, in compliance with NPC CDO dated 23 September 2025.

³² *Id* at par. 142.

Third, TFH averred that the processing of facial and iris images is the most privacy-preserving and proportionate means of achieving proof of unique personhood, demonstrably exceeding global industry practices and existing state-of-the-art methods.³³

Fourth, TFH contended that they are explicitly affirming the rights of data subjects and is continuously improving procedures to ensure their effective exercise.³⁴

Fifth, TFH argued that the totality of circumstances does not meet all requisites for the issuance of a CDO.³⁵ They explained that the CDO is not necessary to safeguard the rights of data subjects, and their continuance of their acts will not result in grave and irreparable injury to data subjects.³⁶ Further, they maintained that their processing activities are not detrimental to public interest.³⁷

TFH declared that they remain fully committed to working with the Commission to address all concerns promptly and transparently.³⁸ They prayed that the Commission to note the allegations, clarifications, and matters raised in their Comment, to issue an Order lifting the CDO against World App/Orb, and to set the instant case for a clarificatory hearing.³⁹

WCPHC also submitted a Verified Comment, dated and received by the Commission on 16 October 2025, wherein they argued that the Commission violated their right to due process when it issued a CDO against them without allegedly affording them a meaningful opportunity to participate in the proceedings.⁴⁰ Claiming further that had they been given a meaningful opportunity to defend itself, it would have been able to present credible evidence showing the validity of the actual implementation of the World App in the LGUs and that consent of the data subjects was validly obtained.⁴¹

³³ *Id* at par. 152.

³⁴ *Id* at par. 155.

³⁵ *Id* at par. 164.

³⁶ *Id* at par. 167.

³⁷ TFH's Comment dated 15 October 2025, at par. 169, in compliance with NPC CDO dated 23 September 2025.

³⁸ *Id* at par. 180.

³⁹ *Id* at p. 46.

⁴⁰ WCPHC's Comment dated 16 October 2025, at par. 28.

⁴¹ *Id* at par. 38.

Ultimately, WCPHC prayed that the Commission invalidate or lift, as to WCPHC, the CDO dated 23 September 2025.⁴²

Subsequently, on 21 October 2025, the Commission issued the Order dated 20 October 2025 with the following dispositive portion:

WHEREFORE, TFH IS HEREBY ORDERED, that, within a non-extendible period of three (3) days from the date of receipt of this Order, it shall:

1. **IDENTIFY** every document, annex, or portion thereof that appears in the “Confidential” version of the Comment or its attachments but is withheld or redacted from the “Non-Confidential” version; and
2. For each item so identified, **STATE** the specific legal basis and brief factual justification for the confidentiality claim, citing the relevant provision of law or regulation, **and SUBMIT the same to the Commission.**

The submission shall be limited strictly to the foregoing identification and justification, and no other submissions, including supplemental arguments, annexes, or revisions, shall be accepted.

The submissions required under this Order are intended solely to clarify the record and shall be considered by the Commission in evaluating TFH’s Comment and determining whether to lift, modify, or extend the CDO. Any confidentiality claims submitted within the prescribed period shall be reviewed by the Commission to determine the appropriate treatment of the materials in the course of its evaluation.

Failure to comply within the prescribed period shall constitute a waiver of the claim of confidentiality, and any materials previously withheld or redacted shall be deemed non-confidential.

SO ORDERED.⁴³

TFH submitted their Compliance to the previously mentioned Order dated and received by the Commission on 24 October 2025.⁴⁴ Under the same, TFH explained that, “[i]n general, the information in the

⁴² *Id* at p. 40.

⁴³ Order, *In the Matter of World App Processing of Personal Information* dated 20 October 2025.

⁴⁴ Compliance (Re: Order dated 20 October 2025) dated 24 October 2025.

Annexes include trade secrets and other confidential information, which has been consistently held as privileged and/or confidential in nature.”⁴⁵ They outlined the specific legal rights and/or obligations which constrain them to maintain the confidentiality of the information in the specified annexes.⁴⁶ Further, they stressed the sensitivity of the information in the mentioned annexes, as it goes into the business and operations of TFH in the Philippines and/or contains sensitive personal information.⁴⁷

TFH prayed that the Commission note their Compliance along with the corresponding identification and justification of the confidential portions of TFH’s Verified Comment and its annexes, and that the same be kept confidential and withheld from public disclosure.⁴⁸

Thereafter, on 27 October 2025, the Commission received TFH’s Manifestation regarding the submission of apostilled documents dated 24 October 2025.⁴⁹

In line with the foregoing, the Commission is now tasked to determine whether to extend or lift the issued CDO pursuant to Section 12, Rule II of NPC Circular No. 20-02:

Section 12. Decision on the Issued CDO. – If after giving the Adverse Party the opportunity to be heard, it appears that the applicant is entitled to have the act or practice enjoined and that there is a need for the extension of the issued CDO, the Commission shall extend its effectivity, otherwise, the same shall be lifted.

The decision whether to extend or lift the issued CDO shall be made no later than thirty (30) days from the expiration of the period for the Adverse Party to file a comment or the termination of the clarificatory hearing if one is held. In the event that the Commission fails to render its decision within the said period, the CDO shall be deemed automatically lifted.⁵⁰

Discussion

⁴⁵ *Id* at par. 4.

⁴⁶ *Id* at par. 6.

⁴⁷ *Id* at par. 7.

⁴⁸ *Id* at p. 9.

⁴⁹ Manifestation of Tools for Humanity (Re: Submission of Apostilled Documents) dated 24 October 2025.

⁵⁰ NPC Circular No. 20-02, known as the Rules on the Issuance of Cease and Desist Order of the National Privacy Commission, Section 12.

**I. TFH is a Personal Information Controller (PIC),
WCPHC is a Personal Information Processor (PIP)**

The Commission takes this opportunity to elucidate the relationship between TFH and WCPHC, and to further provide education on the relationship between a PIC and a PIP.

Under Section 3 of the DPA, the Personal Information Controller (PIC) and Personal Information Processor (PIP) are defined as follows:

(h) Personal information controller refers to a person or organization who **controls the collection, holding, processing or use of personal information**, including a person or organization who **instructs another person or organization to collect, hold, process, use, transfer or disclose personal information on his or her behalf**.

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(i) Personal information processor refers to any natural or juridical person qualified to act as such under this Act **to whom a personal information controller may outsource the processing of personal data** pertaining to a data subject.⁵¹ (Emphasis supplied)

To simplify the above quoted provision, a PIC refers to a natural individual or juridical entity who has control and decision over the collection, holding, processing, or use of personal information or sensitive personal information, or who instructs another to process the information on its behalf.

On the other hand, a PIP is a natural individual or juridical entity that processes personal information or sensitive personal information on behalf of, and under the instruction of, a PIC. The PIP does not make decisions about the purpose or means of processing; rather, it performs specific data processing related tasks.

⁵¹ An Act Protecting Individual Personal Information in Information and Communications Systems in the Government and the Private Sector, Creating for this Purpose a National Privacy Commission, and for Other Purposes [Data Privacy Act of 2012], Republic Act No. 10173, Section 3 (H), Chapter I (2012).

Herein, TFH is undoubtedly the PIC, while WCPHC Group is clearly the PIP of TFH. TFH determines both the purpose and means of processing personal data, specifically the collection, storage, use, and handling of data in the World App and the biometric data processed through the Orb to achieve its declared objective of establishing the proof of unique personhood of an individual. TFH serves as the PIC for both the World App and the Orb, as it exercises control over these systems – determining the why (the purposes for which personal data, including iris scans and facial images, are processed) and the how (the manner, means, and system by which such processing is carried out). TFH likewise issues the instructions, policies, and training materials governing the verification procedures conducted through the Orb.

In its Comment, WCPHC stated that under its agreement with TFH, “WCPHC Group is obligated to, among others, promote the World project, educate users about the World protocol, assist users in the verification process, maintain the Orb in good working condition, and study and implement policies and training materials provided by TFH.”⁵² Further, TFH provides the educational and operational materials used by WCPHC in the field, while WCPHC merely implements and follows these TFH-developed guidelines in performing its local functions.⁵³

Accordingly, TFH has outsourced to WCPHC the collection of iris scans and facial images as part of the verification process using the custom TFH developed device called the Orb. Outsourcing refers to the delegation of specific services or functions by contracting another entity to perform them, rather than doing so internally.⁵⁴ This arrangement is consistent with WCPHC’s own representation that it is a separate and distinct juridical entity from TFH, that its engagement did not create an employment relationship, and that its personnel act as independent contractors.⁵⁵

Thus, WCPHC performs an operational role in the collection of iris scans and facial images. It does so under the control, supervision, and instruction of TFH, which determines the overarching purpose and

⁵² WCPHC’s Comment dated 16 October 2025, at par. 7.

⁵³ *Id* at par. 46.

⁵⁴ Implementing Rules and Regulations of the Data Privacy Act of 2012, Rule X; Cambridge Dictionary, Available at <https://dictionary.cambridge.org/us/dictionary/english/outsourcing> (last accessed 07 November 2025)

⁵⁵ WCPHC’s Comment dated 16 October 2025, at par. 31.

means of processing. Hence, WCPHC functions as a PIP performing specific processing activities on behalf of and under the authority of TFH, the PIC.

In its submitted Comment, WCPHC emphasizes that it is a local operator,⁵⁶ however, it is imperative to note that its failure to identify itself as a PIP does not bind the Commission, as whether an entity is a PIC or PIP is identified not by its label but by what it does relative to the data processing. The determinative factor in classifying an entity as a PIC or a PIP lies in the control exercised by the PIC and the absence of such control on the part of the PIP.

The classification of WCPHC as a PIP by the Commission is supported by several factual and legal indicators drawn from the record. First, WCPHC does not determine the purpose for which personal data is collected or processed:

TFH, as the entity that developed and operates the World App, the Orb, and the World ID system, **determined the overall purpose**, design, and technical parameters of data processing which included the capture, encryption, and momentary storage (and subsequent deletion) of data. **The WCPHC Group's participation, in contrast, was limited to providing operational and logistical support within the Philippines.** No is data collected, stored, or processed.⁵⁷ (Emphasis supplied)

The overarching purpose—to establish proof of unique personhood was conceived, designed, and operationalized entirely by TFH. WCPHC merely facilitates activities that enable this objective, such as user verification, logistics, and field assistance.⁵⁸ In this respect, and consistent with Section 3 (h) and (i) of the DPA, WCPHC executes but does not control or define these operations.

Second, WCPHC performs all its functions strictly in accordance with TFH's directions, policies, and training materials. WCHPC is obligated to, among others, "to study and implement policies and training materials provided by TFH."⁵⁹ It implements pre-approved educational materials, follows TFH's prescribed verification

⁵⁶ *Id.*

⁵⁷ *Id.* at par. 39.

⁵⁸ *Id.*

⁵⁹ *Id.* at par. 7.

workflow, and possesses no discretion to modify the Orb's functions, data flow, or retention protocol. This is consistent with Rule X, Section 44 (b) (1) of the Implementing Rules and Regulations of the DPA (IRR), which provides that a PIP shall act only upon the documented instructions of the PIC.

Third, WCPHC lacks any independent authority to process data. It cannot collect additional categories of data, retain or delete data on its own initiative, or disclose data to third parties. All such determinations rest solely with TFH, as reinforced by Section 21 of the DPA, which establishes that the PIC remains responsible for personal data processed by a third party on its behalf.

Fourth, WCPHC's functions are operational in nature rather than decisional. Its activities include the operation and maintenance of Orbs, on-site assistance during iris scanning, coordination of verification logistics, and the local implementation of TFH's training and policy materials—all of which are execution-level tasks devoid of independent decision-making.

During the Clarificatory Hearing held on 23 May 2025, **RJW**, who was introduced as a member of the operating partner of TFH, categorically stated that WCPHC's sole purpose is to act as an operating partner for TFH:

JSB: Right. Could you give us a very brief background of the nature of your company?

RJW: Sure. **The purpose of the company is again, its sole purpose is to act as an operating partner for Tools for Humanity and World in the Philippines.**

JSB: Right. So it was specifically established and registered for tools for humanity for purposes of operationalizing Tools for Humanity in the Philippines?

RJW : Yes.⁶⁰ (Emphasis and underlining supplied)

Fifth, the contractual relationship between TFH and WCPHC confirms this relationship. The agreement expressly provides that WCPHC is not an employee of TFH but an independent contractor performing

⁶⁰ See Transcription, Clarificatory Hearing CID CDO No. 25-001, Adju-25-00178, 23 May 2025.

specific tasks under the terms and policies prescribed by TFH.⁶¹ This arrangement reflects an outsourcing structure consistent with the definition of a PIP under Section 3 (i) of the DPA.⁶²

Sixth, WCPHC operates entirely through TFH-owned infrastructure and systems, primarily through the Orb and its software. These are both TFH-developed and TFH-controlled, and the biometric data captured are transmitted directly to TFH's backend servers without independent storage or management by WCPHC. This demonstrates that WCPHC lacks control over the technological means of processing.

Finally, under Section 21 of the DPA⁶³, TFH, as the PIC, remains accountable for all personal data processed by a third party on its behalf. Even though WCPHC takes part in the collection of biometric data, the legal and operational control, as well as ultimate accountability, rest with TFH. Taken together, these circumstances conclusively establish that WCPHC functions as a PIP performing data processing activities on behalf of and under the authority and control of TFH, the PIC.

Now that the respective roles of TFH, as PIC, and WCPHC, as PIP, have been established, the Commission takes this opportunity to explain the importance of these roles in the context of due process. Under the DPA and its IRR, the PIC bears primary responsibility and accountability for all personal data processing activities carried out on its behalf, whether performed directly or through a processor.⁶⁴ Accordingly, notice to the PIC is deemed notice to its PIP, as the latter acts only under the authority, instruction, and control of the former. This principle ensures procedural fairness while preserving the integrity of regulatory proceedings by recognizing that the PIC cannot evade responsibility through outsourcing arrangements.

Under Rule X, Sections 43 and 44 of the IRR of the DPA, a PIC may outsource or subcontract the processing of personal data to a PIP, provided that the arrangement is governed by a binding contract or

⁶¹ WCPHC's Comment dated 16 October 2025, at par. 31.

⁶² An Act Protecting Individual Personal Information in Information and Communications Systems in the Government and the Private Sector, Creating for this Purpose a National Privacy Commission, and for Other Purposes [Data Privacy Act of 2012], Republic Act No. 10173, Section 3 (i), Chapter I (2012).

⁶³ *Id.* Section 21.

⁶⁴ *Id.* Section 21; Implementing Rules and Regulations of the Data Privacy Act of 2012, Rule XII.

legal act that obliges the PIP to act only upon the documented instructions of the PIC, and to implement appropriate safeguards consistent with the DPA and other issuances of the Commission.⁶⁵ This regulatory framework establishes a relationship of control and delegation, in which the PIP's authority to process personal data is wholly derived from, and limited by, the PIC's mandate. Consequently, the PIP has no independent legal personality in relation to the data processing purpose and merely acts as an extension of the PIC's processing operations.

The contractual and statutory duty of the PIC to oversee its PIP, ensure adherence to instructions, and guarantee compliance with the DPA implies that any regulatory directive, inquiry, or order addressed by the NPC to the PIC is binding upon its PIP engaged in the outsourced processing. This interpretation preserves due process, as it ensures that both the PIC and PIP are apprised of and bound by the same proceedings, without requiring duplicative notices that could otherwise frustrate the accountability structure established under Rule X of the IRR of the DPA.⁶⁶ In effect, the PIC's receipt of notice triggers its obligation to inform and cause compliance by its PIP, consistent with its continuing accountability under Section 21 of the DPA.⁶⁷

Rule X, Section 44(b)(8) of the IRR specially mandates the PIP to "make available to the personal information controller all information necessary to demonstrate compliance with the obligations laid down in the DPA, and allow for and contribute to audits, including inspections, conducted by the personal information controller or another auditor mandated by the latter."⁶⁸ This provision reflects that the accountability and oversight of responsibility flow downward from PIC to PIP, but the duty to report and inform flows upward from PIP to PIC. Hence, in case where a PIP, and not a PIC, receives a regulatory notice, inquiry, or order from the Commission, the PIP has a corresponding obligation to promptly inform its PIC. The reason being that the PIP processes data on behalf of the PIC, and the PIC remains legally accountable under Section 21 of the DPA. From a due process perspective, this ensures that the PIC is kept aware of any

⁶⁵ Implementing Rules and Regulations of the Data Privacy Act of 2012, Rule X, Section 43 and 44.

⁶⁶ Implementing Rules and Regulations of the Data Privacy Act of 2012, Rule X.

⁶⁷ An Act Protecting Individual Personal Information in Information and Communications Systems in the Government and the Private Sector, Creating for this Purpose a National Privacy Commission, and for Other Purposes [Data Privacy Act of 2012], Republic Act No. 10173, Section 21, Chapter VI (2012).

⁶⁸ Implementing Rules and Regulations of the Data Privacy Act of 2012, Rule X, Section 44 (b)(8).

proceedings or actions involving its outsourced PIP. Thus, the Commission's regulatory notice to either the PIC or PIP is effectively a notice to both, since their obligations are interlinked by law and contract. This prevents a PIC from claiming lack of notice or awareness of proceedings involving its PIP, and likewise prevents a PIP from claiming lack of notice or isolation from its PIC's accountability which is exactly WCPHC's assertion in its comment.

The Commission likewise cautions that allowing a PIP to invoke lack of due process merely because notice was served upon the PIC—to whom it is contractually and legally bound—would create a dangerous precedent. Such a view would permit PIPs to evade oversight and accountability by exploiting procedural formalities, despite their actions being executed under the authority and supervision of the PIC, as the PIP acts only upon the PIC's documented instructions. To hold otherwise would not only fragment the accountability structure established by the DPA but also frustrate enforcement and undermine the principle that the PIC remains responsible for all data processing carried out on its behalf, unless the PIP goes beyond its authority and acts as a PIC. Hence, the Commission affirms that notice to the PIC satisfies the requirement of due process for its PIP, consistent with the law's intent to preserve a unified chain of responsibility in an outsourced data processing.

To add, WCPHC, in its Comment, cited an established jurisprudence recognizing that procedural process includes, among others, the right to actual or **constructive notice** of the institution of proceedings which may affect a respondent's legal rights.⁶⁹ This clearly supports the foregoing discussion that in a unified chain of responsibility, the notice to the PIC is a constructive notice to its PIP.

Assuming *arguendo* and only for the very limited purpose of argument that a separate notice to PIP is required, in this case a separate notice to WCPHC, the Commission has given WCPHC an opportunity to be heard before it issued its CDO dated 23 September 2025. The essence of procedural due process is embodied in the basic requirement of notice and a real opportunity to be heard. In administrative proceedings, such as in the case at bar, procedural due process simply means the opportunity to explain one's side or the opportunity to seek a reconsideration of the action or ruling

⁶⁹ WCPHC's Comment dated 16 October 2025, at par. 34.

complained of.⁷⁰ “To be heard” does not mean only verbal arguments in court; one may be heard also through pleadings.⁷¹ Where opportunity to be heard, either through oral arguments or pleadings, is accorded, there is no denial of procedural due process.”⁷² Further, the standard of due process that must be met in proceedings before administrative tribunals allows a certain latitude as long as the element of fairness is not ignored.⁷³

WCPHC, in its Comment, argued that the Commission issued the CDO against it without an opportunity to present its side, whether through oral hearing or written submission.⁷⁴ That it resorted to availing the remedy to file a comment which must not be construed to cure the grave violation of its right to procedural process⁷⁵ as held in the cited cases stating that “the mere filing of [a] motion cannot cure a grave violation of due process **when the party was never given a meaningful opportunity to be heard** on the merits or to the specific evidence used against him”.⁷⁶ To support the mentioned doctrinal pronouncement, WCPHC further cited *Fontanilla v. Commissioner Proper*.⁷⁷

While WCPHC remained silent regarding the presence of its representative at the Clarificatory Hearing held on 23 May 2025, the records unequivocally show that the Commission acknowledged the presence of its representative, RJW, and was afforded a meaningful opportunity to be heard.⁷⁸ Therefore, the cases cited by WCPHC do not find application in the present case, as they pertain to situations in which a party was denied **any** opportunity to be heard – a circumstance clearly not present in this case.

During the Clarificatory Hearing held on 23 May 2025, the Commission inquired from DKR, the duly authorized representative of TFH, regarding the identity and role of their local partner/s in the

⁷⁰ Sharon Flores-Concepcion v. Judge Liberty Castaneda, Regional Trial Court, Branch 67, Paniqui, Tarlac, A.M. No. RTJ-15-2438 [Formerly OCA I.P.P No. 11-3681-RTJ], (September 02, 2020); Haydee C. Casimiro v. Filipino T. Tandog, G.R. No. 146137, (June 08, 2005).

⁷¹ *Id.*

⁷² *Id.*

⁷³ *Id.*

⁷⁴ *Id.* at par. 36.

⁷⁵ *Id.*

⁷⁶ WCPHC’S Comment dated 15 October 2025, at par. 35.3.

⁷⁷ *Id.* at par. 35.4 to 35.5.

⁷⁸ See Transcription of Clarificatory Hearing dated 23 May 2025, at p. 12.

Philippines.⁷⁹ In response, RJW and JPZ were introduced as representatives of the said local operating partner, to wit:

JSB: You have a local partner here in the Philippines, right? Do you have any local partners in the Philippines or third-party providers in the Philippines?

DKR: Yes, we have an operating partner, JSB who is on the ground in the Philippines and with **the two gentlemen here are the representatives of that operating partner.**

JSB: May I know the names of the operating partners?

RJW: Yes, present here in the room are **RJW and JPZ.**⁸⁰
(Emphasis supplied)

During the same hearing, the representatives of WCPHC were likewise afforded the opportunity to expound on the nature, background, and business operations of their company. It was clarified that WCPHC's primary and sole purpose is to serve as the local operating partner of TFH, functioning in accordance with the latter's directives and operational framework, stating:

JSB: Right. While we're waiting for them, I wanted to ask your partners, DKR. Are they a company or they are just individuals?

RJW: We are a company, Your Honor. We have an entity. We have completed this registration. It's WCPH corporation.

JSB: So that's registered in the Philippines.

RJW: In the Philippines, in the City of Mandaluyong.

JSB: Right. So that's also registered with the Securities and Exchange Commission.

RJW: Yes, we are registered with the SEC. We completed our BIR registration as well.

JSB: Right .

DKR: And yeah, and once we've completed all of these, we are also under your guidance. Also looking to register with the NPC, if that's deemed to be something that is needed.

⁷⁹ Clarificatory Hearing dated 23 May 2025.

⁸⁰ See Transcription of Clarificatory Hearing dated 23 May 2025, at p. 12.

JSB: Right. Could you give us a very brief background of the nature of your company?

RJW: Sure. The purpose of the company is again, its sole purpose is to act as an operating partner for Tools for Humanity and world in the Philippines.

JSB: Right. So it was specifically established and registered for Tools for Humanity for purposes of operationalizing Tools for Humanity in the Philippines.

RJW: Yes.⁸¹

Given these circumstances, the contention of WCPHC that it was not afforded the opportunity to present its case is devoid of factual and legal basis. The records clearly demonstrate that WCPHC actively participated during the Clarificatory Hearing held on 23 May 2025, where it was given the opportunity to speak, clarify, and submit documents necessary for the resolution of this case.⁸² Hence, WCPHC cannot plausibly claim lack of notice or denial of due process when it was physically present, represented by its officers, and accorded a real and reasonable opportunity to be heard.

Indeed, due process cannot be invoked by a party who, despite said opportunity, failed to act or avail itself of the remedies open to it. The constitutional guarantee of due process is meant to ensure fairness – not to shield negligence or inaction. As consistently held by the Supreme Court of the Philippines, “the essence of due process is simply the opportunity to be heard.”⁸³ It is not violated where a party is given the chance to present its side but fails to do so. Thus, WCPHC cannot now fault the Commission for its own failure to respond or comply, as the denial of due process cannot be predicated on a party’s deliberate choice or neglect. To sustain WCPHC’s claim would set a perilous precedent where a PIP having been notified by its PIC and even present in the very proceedings could later argue lack of due process by simply asserting technical non-notification. Such a view would distort the concept of administrative due process and defeat the very accountability structure established under the DPA, its IRR and issuances, which hold the PIC and its PIP to a unified standard of responsibility and cooperation as extensively discussed earlier.

⁸¹ See Transcription of Clarificatory Hearing dated 23 May 2025, at p. 57 to 58.

⁸² *Id.*

⁸³ *Minette Baptista v. Rosario Villanueva*, G.R. No. 194709, (July 31, 2013).

Further, indeed WCPHC is correct when it stated that the Commission is empowered to issue an ex parte CDO pursuant to NPC Circular No. 20-02, known as the Rules on the Issuance of Cease and Desist Orders (Rules on the Issuance of CDO)⁸⁴, in relation to Section 7 (c) of the DPA.⁸⁵ Under these provisions, the Commission may motu proprio or upon complaint, issue an ex parte order when all of the following concur:

- 1) the Adverse Party is doing, threatening or is about to do, is procuring to be done, some act or practice in violation of the DPA, its IRR, or other related issuances;
- 2) such act or practice is detrimental to national security or public interest, or the CDO is necessary to preserve and protect the rights of a data subject; and
- 3). the commission or continuance of such act or practice, unless restrained, will cause grave and irreparable injury to a data subject.⁸⁶

Hence, if an ex parte CDO was issued against TFH, WCPHC, as the PIP of TFH, would be legally bound to cease all verification activities through the Orb in compliance with the CDO.

This outcome demonstrates the accountability structure established under the DPA, where the PIC remains primarily responsible for ensuring lawful processing and for the acts of its processors, while the PIP is likewise bound to act only upon the PIC's lawful instructions. The suspension of WCPHC's verification activities, as a consequence of the CDO directed at TFH, therefore illustrates the operational interdependence between the two entities and reinforces that accountability under the DPA extends beyond contractual boundaries to all processing activities carried out within the PIC-PIP relationship. While the Commission appreciates WCPHC's assertion that the issuance of an ex parte CDO was not the Commission's intention, the foregoing conclusion nevertheless stands.

⁸⁴ NPC Circular No. 20-02 or the Rules on the Issuance of Cease and Desist Orders of the National Privacy Commission.

⁸⁵ An Act Protecting Individual Personal Information in Information and Communications Systems in the Government and the Private Sector, Creating for this Purpose a National Privacy Commission, and for Other Purposes [Data Privacy Act of 2012], Republic Act No. 10173, Section 7 (c), Chapter II (2012).

⁸⁶ NPC Circular No. 20-02 or the Rules on the Issuance of Cease and Desist Orders of the National Privacy Commission, Section 4.

Accordingly, it is indisputable that the notice and due process afforded to TFH effectively extend to WCPHC, given that both entities operate within a unified chain of responsibility in an outsourced data processing arrangement. Consequently, WCPHC is legally bound to comply with and suspend all its operations pursuant to the CDO dated 23 September 2025, given that it functions as TFH's delegated PIP, and is subject to the same regulatory directives and orders imposed upon its PIC, TFH. Lastly, the duty to ensure receipt and compliance with regulatory mandates and orders rests upon TFH, being the PIC. Such responsibility cannot be imputed to the Commission, as the PIC bears primary accountability under the DPA for ensuring that all obligations and directives are duly observed and implemented. Nonetheless and for administrative prudence, the Commission is providing WCPHC a copy of this Resolution to facilitate coordination with TFH, its PIC.

II. TFH's processing is unnecessary and excessive

The Commission, in its CDO dated 23 September 2025, has already explained in detail the reasons why TFH's processing of biometric data specifically the iris scans and facial images of data subjects violated the principle of proportionality, among others.⁸⁷ The same reasoning still stands. However, TFH's assertions in its Comment must be addressed, particularly that:

xxx the defined purpose of the Orb's biometric processing is not only **to confirm whether an individual is a human**, but also to provide a system capable of verifying whether that individual is a unique human, and to do so **in a way that does not require revealing identifying characteristics about the particular individual**.⁸⁸ (Emphasis supplied)

Thus, it is now paramount to elaborate on why the claimed purpose to verify an individual is a unique human is necessary.

According to TFH, the processing of iris scans and facial images aims to provide a system capable of verifying whether an individual is a unique human, in a manner that does not require revealing identifying characteristics about a particular person.⁸⁹ TFH further claims that it

⁸⁷ Cease and Desist Order (CDO) In the matter of World App Processing of Personal Information dated 23 September 2025.

⁸⁸ TFH's Comment dated 15 October 2025, at par. 148, in compliance with CDO dated 23 September 2025.

⁸⁹ *Id.*

has evaluated alternative methods for verifying human uniqueness and found them less effective in combating identity fraud.⁹⁰ TFH states that “By adopting this design, Respondent has achieved the rare combination of scientific precision, privacy preservation, and proportionality – confirming that the processing of facial and iris images is the most privacy-preserving and proportionate means of achieving proof of unique personhood”.⁹¹

The Commission has previously addressed why the processing of iris and facial biometrics is excessive and unnecessary for the determination of “personhood.” What now merits emphasis is to determine whether the purpose of verifying one as a unique human is necessary and not excessive. In its Comment, TFH explained how such processing for purposes of verifying one as a “unique human” concretely addresses the challenges in this “current era of AI - where deepfakes, synthetic images, and automated agents can convincingly replicate human attributes”.⁹² TFH itself describes World ID as a tool allowing users to authenticate into applications without disclosing personal information⁹³—essentially proving that one is a unique human, but not who that human actually is. In TFH’s own words:

xxx each World ID is only associated with one unique human, allowing users to sign in and authenticate into web, mobile, and decentralized applications without having to resort to more traditional authentication methods that reveal a great amount of personal information (e.g., email and password logins), creating a trustworthy way to tell real, unique humans apart from bots, duplicates, and synthetic identities and other purposes.⁹⁴

This description makes clear that World ID serves to distinguish humans from automated agents, but does not link the verified “unique human” to any verifiable identity. The verified World ID does not prevent a user from adopting or assuming another person’s image, name, or persona once authenticated. For instance, as TFH announced in its partnership with Match Group, World ID will be piloted as an age-verification and authenticity feature for Tinder users in Japan,

⁹⁰ *Id.*, at par. 152.2.

⁹¹ TFH’s Comment dated 15 October 2025, at par. 153, in compliance with CDO dated 23 September 2025.

⁹² WCPHC’s Comment dated 16 October 2025, at par. 152.4.

⁹³ TFH’s Comment dated 15 October 2025 at par. 148 to NPC Cease and Desist Order No. CID CDO 25-001 dated 23 September 2025.

⁹⁴ *Id.* at par. 148.

purportedly enabling users to interact “with confidence” knowing that profiles represent real people seeking real connections.⁹⁵

Yet, such deployment illustrates the limitation in TFH’s premise. Even if a user possesses a verified World ID which indicates one as a “unique human,” TFH’s own design ensures that no identifying information such as name, likeness, or verified image is disclosed or linked to the authentication process. Consequently, a person may authenticate using their verified World ID, thereby confirming only that they are human, but may subsequently upload a photograph or persona that misrepresents their actual identity. This scenario demonstrates that while World ID may verify humanness, it does not prevent identity fraud, impersonation, or misrepresentation.

In essence, TFH conflates proof of personhood with what is called proof of identity. The former distinguishes a real human from an automated entity while the latter ensures that a person is who they claim to be. A verified World ID, by design, only satisfies the first. Thus, the Commission finds that TFH’s justification that its biometric processing of iris scans and facial image to verify a person is a unique human is necessary to combat identity fraud, among others, remains unsubstantiated. There is also no evidence supporting its claim that a system that deliberately withholds identifying characteristics can prevent identity fraud, and therefore cannot verify whether the authenticated user truthfully represents their own identity.

This limitation persists regardless of the application or platform where World ID is integrated. Similar to any other application in which the credential may be used be it a social media account, online banking or online dating app—a verified World ID only confirms that the user is a real human, not that they are the person they purport to be. Thus, even within the partner app ecosystems, such as digital platforms or online services adopting World ID, the World ID credential verifies humanness but not identity. Consequently, the risk of impersonation, misrepresentation, or identity fraud continues to exist notwithstanding the claimed safeguards.

TFH also asserts that non-biometric indicators are no longer sufficient to distinguish whether a human is genuine or unique and that

⁹⁵ World, Available at <https://world.org/blog/announcements/experience-real-connections-with-world-id-and-match-group> (last accessed 05 November 2025).

verification as a unique human through iris scan and facial image is necessary in the current era of AI – where deepfakes, synthetic images, and automated agents can convincingly replicate human attributes.⁹⁶ However, similar to identity fraud, TFH has not substantiated its claim how scanning a person’s iris and taking a photo of an individual’s face via the Orb to verify that one is a unique human will be useful in battling deepfakes or synthetic images. It is the Commission’s position that the act of verifying “uniqueness of personhood” through iris scanning does not, in itself, address the threats posed by deepfakes or synthetic media.

A deepfake is a video, photo, or audio recording that seems real but has been manipulated with AI.⁹⁷ The underlying technology can replace faces, manipulate facial expressions, synthesize faces, and synthesize speech.⁹⁸ Deepfakes can depict someone appearing to say or do something that they in fact never said or did.⁹⁹ The harm they cause arises from the fabrication of content, not from uncertainty about whether the creator or uploader is a human being. Scanning a person’s iris and taking a photo of one’s face to prove that they are a “unique human” may confirm that a real unique biological person initiated an action such as uploading a file or signing in. However, it does not establish the authenticity of the content itself. A verified human can still generate, alter, or distribute a deepfake. The verified World ID merely certifies humanness but it does not verify truthfulness. In TFH’s Comment, it claims that “World App and the proof of human credential play an important role: they allow individuals to cryptographically demonstrate that they are unique, living humans without having to disclose their identity. This simple capability restores confidence in digital interactions while preserving the user’s privacy and autonomy.”¹⁰⁰

However, the primary issue with deepfakes, from the perspective of the recipient or viewer, is the inability to verify whether the image or video they are viewing depicts a real, unique human being. Possession of a verified World ID does not enable the recipient to confirm the authenticity of the content. From the perspective of individuals whose

⁹⁶ TFH’s Comment dated 15 October 2025, at par. 152.4, in compliance with CDO dated 23 September 2025.

⁹⁷Science & Tech Spotlight: Deepfakes, Science, Technology Assessment, and Analysis, February 2020. Available at <https://www.gao.gov/products/gao-20-379sp> (last accessed 07 November 2025)

⁹⁸*Id.*

⁹⁹ *Id.*

¹⁰⁰ TFH’s Comment date 15 October 2025, at par. 13, in compliance with NPC CDO dated 23 September 2025.

faces, voices, or other biometric data are used in creating deepfake contents without consent, the problem lies in the difficulty of proving that they are not the person depicted in a deepfake. While individuals with verified World ID can establish that they are unique human, this does not prevent the continued creation or dissemination of deepfakes.

To illustrate further, a verified World ID user could still create a video falsely depicting another person making political statements, or a fabricated photo showing a celebrity in a compromising act. The verified World ID has no capacity to examine whether the uploaded video or image is genuine. Thus, the threat remains. Equally important is to emphasize that TFH's verified World ID only verifies that one World ID corresponds to one biological human, but it does not determine who that person is. Deepfakes, by nature, involve impersonation of specific individuals. A user could be verified as a unique human and still falsely claim to be another person either by name, photo, or video likeness. The World ID provides no linkage between the unique human and their asserted identity. To illustrate once again, a verified human could use an AI-generated video to impersonate a public figure during a video call. Although the World ID confirms the participant is a real unique human, it cannot detect that the image and voice being shown belong to someone else. Hence, a verified World ID does not prevent impersonation, which is the very essence of deepfakes.

In addition, deepfakes are produced through AI model training and content-generation processes, not through failures in verifying humanness. The proper countermeasures include provenance tracking, watermarking, content authentication frameworks, and digital-signature-based verification of source materials.¹⁰¹ None of these are achieved by scanning or storing iris scans and facial images. A proportional and targeted response would address the technical mechanisms of deepfake production and not the collection and processing of biometric data unrelated to the content-creation process. Using iris scans to solve a content-authenticity problem is not only ineffective but also disproportionate under Section 11 of the DPA, which requires that processing be necessary and not excessive relative to the purpose.

¹⁰¹ Safeguarding Authenticity in the Digital Realm: A Holistic Approach Integrating Content Provenance, Secure Watermarking, and Transparent Labeling to Combat Deepfakes, Ashutosh Pal Singh, International Journal for Multidisciplinary Research, June 2024.

Finally, TFH asserts that World ID provides a reliable, privacy-preserving signal of uniqueness, enabling individuals to prove that they are a real and unique person without revealing their identity:

In this evolving Web 3.0 world, “proof of human” becomes critical to create a trustworthy way to tell real, unique people apart from bots, duplicates, and synthetic identities – without forcing any individual to reveal their own identity. Respondent considers **World ID to provide a reliable, privacy-preserving signal of “uniqueness” which is essential infrastructure for the purpose of interacting with the Internet and modern digital services transactions.** As generative artificial intelligence becomes more capable of producing realistic text, images, voice and video, the baseline assumption underpinning the Internet (i.e. a real human person is conducting every account or action) no longer holds true.¹⁰²

TFH further claims that this will help businesses and online platforms, as they often struggle to decipher whether a user is a real person or an automated account:

This also helps businesses and online platforms, as they often struggle to decipher whether interactions with their platforms are by a human or computer. Respondent’s technology can help them maintain real human interactions, thereby reducing manipulation and cybersecurity threats, and enhancing trust in digital transactions.¹⁰³

However, as earlier discussed, World ID does not constitute proof of identity but merely proves that someone is a unique human. This distinction is critical because it is deliberately designed not to disclose or associate any identifying data with the individual.

Given that limitation, the Commission finds it necessary to ask: what is the practical purpose of proving “uniqueness” if allegedly the system is structurally incapable of linking that uniqueness to any verifiable identity? Even assuming that the signal of uniqueness is reliable, it offers no assurance to businesses or online platforms that the user interacting with them is who they claim to be. As mentioned earlier, a verified human could still assume a false name, use another person’s image, or operate multiple accounts representing fabricated

¹⁰² TFH’s Comment dated 15 October 2025, at par. 12, in compliance with NPC CDO dated 23 September 2025.

¹⁰³ TFH’s Comment dated 15 October 2025, at par. 14, in compliance with NPC CDO dated 23 September 2025.

personas. Thus, while TFH promotes the concept of a privacy-preserving verification signal, this signal provides no meaningful safeguard against identity fraud, impersonation, or deepfakes—the very risks TFH claims to address.

In effect, the claimed “proof of uniqueness” operates in a vacuum: it confirms that a real human is behind an account but fails to establish the authenticity of the person or the integrity of the identity being represented. Without a mechanism to connect this “unique human” to an identifiable subject, the utility of such verification for businesses or platforms remains unproven and overstated. The Commission, therefore, finds TFH’s justification speculative and inconsistent with the proportionality principle under the DPA, as the invasive collection of biometric data cannot be deemed necessary to achieve a purpose that, by design, excludes identity verification.

III. The tick box isn’t the problem

It is alarming that TFH thinks that one of the concerns determined by the Commission in its CDO is the use of “tick box” in obtaining data subjects consent in the World App, even going to the extent of explaining why the use of tick box is allowed.

The tick box isn’t the problem. In the CDO, the Commission stated that once a person downloads the World App, the data subject must tick a single box beside the following statement “I agree with World App User Terms and Conditions and acknowledge the TFH Privacy notice.”¹⁰⁴ This is not the consent required under the law. The immediately preceding sentence does not refer to the tick box; it refers to the fact that specific consent was never obtained from the data subject given that it did not specifically agree to the processing of its data such as birthdate and other data. Rather, when the data subject ticked the box, it is only a representation that they acknowledged the Privacy Notice and agreed with the terms and conditions.

Indeed, the use of tick box is allowed as proof of a data subject’s consent, there is no question to that. However, TFH failed to ask the consent of data subjects in relation to the “limited set of personal data

¹⁰⁴ Letter dated 19 May 2025 from Tools for Humanity’s Chief Legal and Privacy Officer.

processed by Respondent for the purposes of account creation.”¹⁰⁵ Acknowledging privacy notice does not meet the requirements of informed consent because it simply and merely signifies acknowledgement and not understanding or agreement to specific data processing activities of TFH relative to the World App. To further break it down, the data subject’s act of acknowledging a privacy notice does not prove that they were informed of what personal data will be collected such as birthdate, phone number, contacts, username, messages and communications, interactions with World App, credentials, and geolocation.¹⁰⁶

To illustrate, TFH should have provided a separate tick box specifically asking the data subject that they agree with the processing of personal data such as birthdate, phone number, contacts among others for the purpose of account creation. This tick box is separate and distinct from the “I agree with World App User Terms and Conditions and acknowledge the TFH Privacy notice”. While the Commission appreciates and takes note of the changes made by TFH as to its Privacy Notice, the same does not cure the erroneous process of obtaining the consent of data subjects relative to the World App. The World App itself processes personal data, in fact sensitive personal information such as birthdate. Further, it processes passports which contain sensitive personal information. While TFH, in its submitted Comment dated 15 October 2025, stated that “This Honorable Commission expressed concerns that World App processed passport information of users. In this regard, Respondent notes that this feature is not available to users in the Philippines”¹⁰⁷ such was not the case previously as this feature was very well accessible to Filipino data subjects as evidenced by the fact that this was one of the personal information which was the subject of the questions during the Clarificatory Hearing on 23 May 2025 and as mentioned in the CDO. Thus, the more than five million Filipino data subjects¹⁰⁸ who created their World App provided their birthdates, among others, without being presented the proper consent form. Similarly, those who provided their passport information prior to the “passport

¹⁰⁵ TFH’s Comment dated 15 October 2025, at par. 85, in compliance with NPC CDO dated 23 September 2025.

¹⁰⁶ See TFH’s Comment dated 15 October 2025, Revised (1 Oct) Privacy Notice, Annex 2A, in the compliance with NPC CDO dated 23 September 2025.

¹⁰⁷ TFH’s Comment dated 15 October 2025, at par. 137, in compliance with NPC CDO dated 23 September 2025.

¹⁰⁸ TFH’s Comment dated 15 October 2025, at par. 168, in compliance with Order dated 23 September 2025.

information” being made unavailable to the Philippines, may have provided the same without being asked the proper consent.

TFH, in its Comment, claims that “its design and implementation of workflow forming part of World App aligns with the framework” contemplated in Section 3 of NPC Circular No. 2023-04 dated 07 November 2023, known as the Guidelines on Consent, (Guidelines on Consent) considering that it has “two separate consent stages - one for when the user initially creates an unverified World ID and one for when the user elects to verify his/her World ID via the Orb verification process”.¹⁰⁹

The Respondent’s claim of compliance on the Guidelines on Consent is inaccurate. The Guidelines on Consent make it clear that “the requirement of having a privacy statement and notice is separate and distinct from obtaining the consent of the data subject in an appropriate consent form or its equivalent for the lawful processing of personal data.”¹¹⁰ This distinction underscores that providing a privacy notice and obtaining consent are two different compliance requirements – not two stages of consent. The law mandates that any consent obtained must be specific, informed, and freely given for each distinct purpose of processing. Thus, characterizing the acknowledgement of the privacy notice as the “first stage” of consent is erroneous and inconsistent with the intent of the Guidelines.

IV. Incentivizing consent is not unlawful per se, Commission determines on a case-to-case basis

Section 7 of the Guidelines on Consent¹¹¹ issued by the Commission specifically states that the Commission is empowered to make a determination if a PIC uses deceptive manners, undue influence or coercion that would render the consent obtained not valid. The reason for such is that the validity of consent cannot be assessed in the abstract, but must be examined in relation to the specific context and nature of the personal data being processed, including the sensitivity of the data, the relationship between the parties, and the conditions under which consent was sought. In this case, the Commission looked into the incentive provided and how such incentive is significant

¹⁰⁹ *Id* at par. 118.

¹¹⁰ NPC Circular No. 2023-04, *Guidelines on Consent* dated 07 November 2023, Section 3 (D) (5).

¹¹¹ NPC Circular No. 2023-04, *Guidelines on Consent* dated 07 November 2023, Section 7.

relative to local income or economic conditions of this country; the fact that data subject may need the money more than they understand or value their privacy; and the processing involves high-risk data such as immutable iris biometric that cannot be revoked or replaced once compromised.

While others use incentives such as discounts, rewards, or loyalty points to encourage participation in low-risk activities like marketing subscriptions or consumer feedback¹¹², the processing of iris scans and facial image for TFH's stated purpose which the Commission finds excessive and unnecessary vis-à-vis the incentive offered, requires the Commission to scrutinize more closely whether such incentive has compromised the voluntariness and validity of the consent obtained. Given the sensitivity and permanence of biometric data, the use of financial or token-based inducements in exchange for such information heightens the risk that consent was not freely given but rather influenced by economic benefit.

Accordingly, even without physical coercion, the economic inducement becomes an undue influence subtly pressuring the data subjects to consent to something they might otherwise refuse if no money were involved. As such, it is worth asking: would the 2.4 million Filipinos¹¹³ who had their irises scanned and their facial images captured have consented to the processing of their data if no incentive had been offered?

TFH asserts that it does not offer any incentive to users for undertaking Orb verification¹¹⁴; users who have agreed to Orb registration are eligible to access Mini-Apps (the majority of which are developed by independent third parties) and may receive an optional incentive in the form of Worldcoin (which is not managed by the Respondent).¹¹⁵ TFH further states that Worldcoin is managed by the Worldcoin Foundation, an independent non-profit organization.¹¹⁶ Meanwhile, according to the White Paper¹¹⁷, World Network "consists of a privacy-preserving digital identity network (World ID) built on proof of

¹¹² WCPHC's Comment dated 16 October 2025, at par. 93.

¹¹³ Letter dated 11 October 2025 from GAC on behalf of Tools for Humanity (TFH).

¹¹⁴ TFH's Comment dated 15 October 2025, at par. 29, in compliance with NPC CDO dated 23 September 2025, par. 29.

¹¹⁵ *Id* at par. 29.

¹¹⁶ *Id* at par. 7.

¹¹⁷ World Whitepaper, p.1/170, Annex G on the Compliance of Minute Resolution dated 23 May 2025.

human and, where laws allow, a digital currency (WLD). Every human has access to WLD tokens simply for being human. World ID and WLD are currently complemented by World App, the first frontend to World ID and the World Network, developed by the contributor team at TFH.¹¹⁸

While TFH asserts that it does not itself offer any incentive for Orb registration¹¹⁹, the incentive cannot be viewed in isolation. The WLD token, though technically managed by the World Foundation, forms an integral component of the World Network, which includes the World ID, World App, and the Orb. In fact, in WCPHC's comment, it describes TFH as:

4. Tools for Humanity ("TFH"), a company incorporated under the laws of Delaware, is responsible for developing the World Project, whose purpose was to develop the ability to prove whether someone is a real and unique human or a bot / AI program in digital interactions.

5. The World Project consists of the following basic elements: (a) the World App; (b) the Orb device; (c) World ID; and (d) Worldcoin. In order to join the World Network, individuals must download the World App, that then allows the optional creation of a World ID. This World ID can be verified by standing in front of the Orb, which will conduct verification by doing a facial and iris image capture of the user. Insofar as data privacy is concerned, TFH acts as the personal information controller with respect to the World App.¹²⁰

Hence, in essence, the incentive mechanism operates within the same ecosystem through which TFH collects and processes biometric data. Although participation may be described as "voluntary," the interlinked nature of the World Network and the tangible financial value of the WLD token blur the distinction between genuine consent and induced participation. The design of the verification process to get a verified WorldID itself embeds the incentive into the overall data subject experience, making it a foreseeable and intended outcome of the process. In fact, in the Memorandum of Understanding (MOU) of WCPH JV PTE. LTD. and the Rizal Provincial Government as annexed in WCPHC's Comment, WLD Tokens are defined as:

¹¹⁸ *Id.*

¹¹⁹ *Id.* at par. 29.

¹²⁰ WCPHC's Comment dated 16 October 2025, at par. 4 & 5.

WLD Tokens – A form of cryptocurrency given as a reward for completing the verification process. These tokens can be stored in a digital wallet and used for online transactions.¹²¹

Further, a screenshot taken on 21 October 2025 displays the prompt “Get verified to claim Worldcoin,” clearly demonstrating the direct linkage between verification and the ability to claim WLD tokens.¹²² Without verification, a user cannot claim WLD, and conversely, one cannot use or benefit from WLD without undergoing verification. This structure effectively creates an incentive loop, where verification becomes the gateway to financial reward—an offer difficult to resist. After all, who would not want to receive a cryptocurrency that can be converted into real-world money? This reality underscores that, even if the reward is offered by a separate entity, it remains functionally and economically intertwined with TFH’s own network and data processing activities. Hence, the incentive cannot be dismissed as external or incidental as it forms a central and intentional feature influencing users’ decisions to submit their iris and facial data.

Given the foregoing circumstances, the assertion of TFH in its Comment, that “there exists no express authority or undertaking authorizing any party to offer cash or any other form of monetary incentive to attract potential users”¹²³, is devoid of merit. The evidence on record, particularly the standard Memorandum of Understanding (MOU) executed with the Rizal Provincial Government, clearly demonstrates that WLD Tokens are designated and defined as rewards for the completion of the Orb verification process.¹²⁴

The very nature and structure of the transaction reveal, by necessary implication, that participants are induced to undergo the verification process by reason of the rewards to be granted. The act of offering WLD Tokens, a form of cryptocurrency capable of conversion into fiat or real-world money, constitutes an incentive of monetary character, notwithstanding its digital or non-cash form.

¹²¹ *Id* at Annex “2”, Memorandum of Understanding between WCPH JV PTE. LTD and the Rizal Provincial Government dated 05 March 2025.

¹²² Annex “A”, screenshot taken on 21 October 2025.

¹²³ TFH’s Comment dated 15 October 2025, at par. 48, in compliance with NPC CDO dated 23 September 2025.

¹²⁴ WCPHC’s Comment dated 16 October 2025, Annex “2”, Memorandum of Understanding between WCPH JV PTE. LTD and the Rizal Provincial Government dated 05 March 2025.

The Respondent cannot feign ignorance of the fact that such cryptocurrency rewards, though not expressly denominated as “cash” or “monetary incentives,” undeniably possess pecuniary value and can be converted into legal tender. Hence, the provision of WLD Tokens as consideration for participation effectively operates as a financial influence, one that is reasonably calculated to attract and sway individuals, particularly members of the Filipino public, to engage in the Orb verification process.

Lastly, the Commission wishes to address that contrary to Respondent’s discussion, nothing in the CDO dated 23 September 2025, nor in any of its previous issuances, may be construed that the Commission made a categorical characterization of the in-app optional referral system of TFH being akin to a Ponzi scheme or a pyramiding scam. While the Commission appreciates the Respondent’s extensive discussion on the nature and characteristics of such schemes,¹²⁵ the Respondent is nevertheless reminded to remain mindful of, and to confine its arguments to, the relevant issues raised by the Commission.

V. Verification involves the use of both the World App and the Orb

To obtain a verified World ID, a data subject must first download the World App and then appear before the Orb, where the device captures images of the person’s face and iris. Verification through the Orb is therefore not possible without the World App, as the latter serves as the entry point to the entire process. In this regard, the Commission does not agree with TFH’s assertion that the portion of the CDO referring to the World App constitutes an ultra vires act.¹²⁶ The CDO itself provides extensive explanation on how the World App, the Orb, and the WLD token are technologically and functionally interconnected components of the same system.¹²⁷

In order to obtain a verified World ID, a data subject necessarily uses both the World App and the Orb wherein the former is needed to initiate registration, schedule verification, give consent to the processing of biometric data, and claim WLD tokens and the latter to perform the actual biometric capture. These processes are inseparable

¹²⁵ WCPHC’s Comment dated 16 October 2025, at par. 98-100.

¹²⁶ *Id* at par. 73.

¹²⁷ Cease and Desist Order (CDO) In the matter of World App Processing of Personal Information dated 23 September 2025.

and operate within one continuous data flow managed within TFH's network. Accordingly, a CDO limited only to the Orb or to the World App would be ineffective and inconsistent with the holistic nature of the data processing involved. How can the CDO be effectively implemented if scheduling, consent-giving, and token claiming all occur through the World App itself? The Commission thus finds that referring to both the Orb and the World App in the CDO was necessary and proper to give full effect to its directive and to prevent the continued processing of biometric data through any component of the integrated system.

TFH also alleged that "until the user elects to verify their World ID, the user retains full access to substantial functionality that neither requires nor assumes Orb verification, while keeping everyday wallet operations private and accessible".¹²⁸ However, TFH merely made this assertion without providing any supporting evidence or documentation to substantiate such claim. Basic is the rule that "he who alleges has the burden of proving his allegations with the requisite quantum of evidence".¹²⁹

The Commission notes that the World App hosts various Mini Apps, some of which are explicitly denominated as "Human Only"^{130, 131} These Mini Apps cannot be accessed unless the user holds a verified World ID, thereby linking Orb verification directly to access privileges within the application.

Moreover, even Mini Apps that are not labeled as "Human Only" still appear to rely on the verification framework of the World ID system. A screenshot taken on 28 October 2025 shows the message: "This app will see your verification level and wallet address," which appears upon signing in.¹³² This demonstrates that even for supposedly Mini Apps not denominated as Humans Only, the user's verification status remains a data point visible and relevant to the system's operations.

If, as TFH claims, unverified World ID users retain full access to substantial functionalities of these Mini Apps in the World App without Orb verification, then it becomes necessary for TFH to explain

¹²⁸ WCPHC's Comment dated 16 October 2025, at par. 10.

¹²⁹ *Tacis v. Shield Security Services, Inc.* G.R. No. 234575 (July 07, 2021).

¹³⁰ Annex "B", World APP Screenshot.

¹³¹ TFH's Comment dated 15 October 2025, Annex 2A, Revised (01 Oct) Privacy Notice, in compliance with NPC CDO dated 23 September 2025.

¹³² Annex "C", Screenshot taken on 28 October 2025.

why these apps still require visibility into a user's verification level. The presence of such permissions suggests that verification status forms part of the data exchange between the World App and its Mini Apps, contradicting TFH's assertion that Orb verification is optional.

Further, if TFH's claim were accurate, it should have presented the process flow diagrams or system documentation of these apps clearly showing that at all stages of interaction such as registration, sign-in, and data exchange—verification is neither required nor invoked. Unless TFH is able to provide such evidence, the Commission cannot give weight to its bare assertion. The available screenshots and observed application behavior indicate that the World App's functionalities are, in practice, designed to operate within the same verification-dependent ecosystem, thereby undermining TFH's claim that users who do not undergo Orb verification retain full and equal access to the platform's features.¹³³

VI. TFH is the controller of World App and Encrypted Iris Image

TFH asserts that it is "incapable of decrypting or accessing the contents of the Personal Custody Package (PCP)"¹³⁴ then in the same paragraph it further states that "TFH cannot arbitrarily decrypt or access user's plaintext data in the backend."¹³⁵ TFH itself contradicts itself and proves that TFH can indeed decrypt or access the user's plaintext data though according to them not arbitrarily. This proves the Commission's position that TFH has the capacity to decrypt or access user's data as TFH is both the controller of the World App and the Encrypted Iris Image. While it states that "the image payloads in PCP v3 are encrypted with both the user's public key in World App and the backend key controlled by TFH".¹³⁶ This means that TFH is the controller of the backend that stores the encrypted iris data, and the controller of the World App where the user's decryption key resides.

The description of TFH provides that there are two keys, however these two keys are within TFH's control. As such, TFH can technically

¹³³ TFH's Comment dated 15 October 2025, at par. 10, in compliance with NPC CDO dated 23 September 2025

¹³⁴ *Id* at par. 25.1

¹³⁵ TFH's Comment dated 15 October 2025, at par. 25.1, in compliance with NPC CDO dated 23 September 2025

¹³⁶ *Id.*

access both keys — either directly or through software updates, system access, or legal orders. Hence, TFH’s claim that “it cannot arbitrarily decrypt”¹³⁷ is only partly true as indeed they have set up a process that requires two keys, making casual access harder but since they control both keys, the barrier is procedural, not absolute.

VII. Data Retention and Storage of data in the Orb

With respect to the processing of the contents of the PCP, TFH asserts that all personal data is collected and processed in accordance with its Privacy Notice, claiming that users are adequately informed through clear and concise statements about the categories of personal data processed and the purposes for which such processing occurs.¹³⁸ Upon review of the Revised Privacy Notice (effective 01 October), it states:

We collect your personal data when you provide it to us and when you use our services. In limited cases, we also receive personal data from third parties.¹³⁹

The Notice also enumerates specific categories of personal data, noting that such data are optional to provide and may be modified or deleted by the user at any time through the World App settings.¹⁴⁰ However, there is no explicit reference within this enumeration to the contents of the PCP, notwithstanding that it has been established that TFH acts as the controller of both the World App and the encrypted iris images.

Moreover, the Privacy Notice’s statement that “information we collect when you use our services is retained for no longer than two years” is vague and overly broad.¹⁴¹ It fails to specify whether this retention period applies to the iris code, the encrypted plaintext data, or other biometric data elements. This ambiguity raises questions regarding the scope of data retention and whether such data is indeed covered by the stated retention limitation.

TFH likewise asserted that “even without scrubbing or erasure procedures, (a) the relevant Orb software is programmed in Rust

¹³⁷ *Id.*

¹³⁸ *Id.* at par. 16.

¹³⁹ TFH’s Comment dated 15 October 2025, Annex 2A, Revised (01 Oct) Privacy Notice, in compliance with NPC CDO dated 23 September 2025.

¹⁴⁰ *Id.*

¹⁴¹ *Id.*

which follows a memory safety model, whereby once a variable's lifecycle ends, the data is automatically released from memory and cannot be accessed or recovered and (b) it is technologically impossible to retain any data in volatile memory when the Orb is powered off."¹⁴²

While the Commission appreciates the above-mentioned explanation, this does not guarantee that no biometric data persists even momentarily outside volatile memory. This is because Rust ensures data disappears automatically once the process or power ends. However, volatile memory means that data disappears after it is shutdown, but it does not protect data while the device is running. Meaning while the Orb is turned on and processing, the biometric data is either in memory, possibly unencrypted, and being transmitted or transformed. Hence, until the Orb completes the process and securely deletes or overwrites that data, the collected biometric data remains susceptible to compromise, interception, or possibly forensic retrieval. This is separate from the fact that TFH failed to specify when the Orb is powered off – if it is ever powered off at all – and to provide any logs or audit trails to prove such occurrence.

Further, this is apart from TFH's earlier assertion that the Orb deletes biometric data within twelve (12) seconds, a claim which remains unsubstantiated to date. With the new assertion regarding the use of Rust's memory safety model and the prior unverified claim of automatic deletion within twelve (12) seconds, the Commission finds these representations mutually inconsistent, thereby undermining TFH's claim of secure disposal of the data processed in the Orb and compliance with the requirements of the DPA.

On a final point, the Commission neither favors nor disfavors any particular technology. Borrowing the words of the NPC's inaugural Chairman, Mr. Raymund Liboro, "the NPC's CDO on WorldApp is not antitechnology – it is a safeguard for responsible innovation. It allows this technology to mature responsibly and gives its creators time to rethink their approach with greater ethical care. This pause is not a rejection of progress but a reminder that real progress protects people first."¹⁴³

¹⁴² *Id* at par. 22.1

¹⁴³ Newsbytes.PH, Ex-NPC Chief: Buying consent for iris scans is not inclusion, it's exploitation, *available at* <https://newsbytes.ph/2025/10/14/ex-npc-chief-buying-consent-for-iris-scans-is-not-inclusion-its-exploitation/> (last accessed 12 November 2025).

This statement truly encapsulates the NPC's guiding philosophy then and now: that innovation and protection are not opposing forces, but parallel duties of a just and humane society. The NPC was created not to hinder advancement but to ensure that the Filipino people—both the digitally adept and those who may not fully understand what they are consenting to or giving away are never left unprotected in the face of an increasingly complex technological environment.

As technology exponentially grows ever more powerful, so too must the Commission's vigilance, empathy, and resolve. For what good is progress if it forgets the very people it was meant to serve?

WHEREFORE, given the foregoing and the reasoning provided in the Cease and Desist Order (CDO) dated 23 September 2025, this Commission resolves to **EXTEND** the effectivity of the said CDO pertaining to the processing of TFH within the Philippines in the World App and through the Orb.

The extended CDO shall remain in force and effect until the same is modified or lifted by the Commission. Pursuant to Section 15, Rule III, of the NPC Circular No. 20-02 on the Rules on the Issuance of Cease and Desist Orders, TFH may, at any time during the effectivity of the extended CDO, file a motion to lift on the ground that the factual or legal basis for its issuance no longer exists, furnishing a copy thereof to the CID.

The motion shall contain or specify the material facts establishing the ground/s relied upon, the relevant documentary, testimonial and object evidence supporting the motion, and the proof of service of the copy of the motion to the CID.

Further, TFH is **ORDERED** to **SUBMIT** the necessary compliance report within a non-extendible period of thirty (30) days from receipt of this Resolution.

Additionally, the Enforcement Division of the NPC is hereby tasked to **MONITOR** the compliance of TFH with this Resolution and to **SUBMIT** to the Commission a report every three (3) weeks after receipt of this Resolution, unless the CDO is lifted or modified.

SO ORDERED.

Quezon City, Philippines.
30 October 2025

SGD
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Deputy Privacy Commissioner

WE CONCUR:

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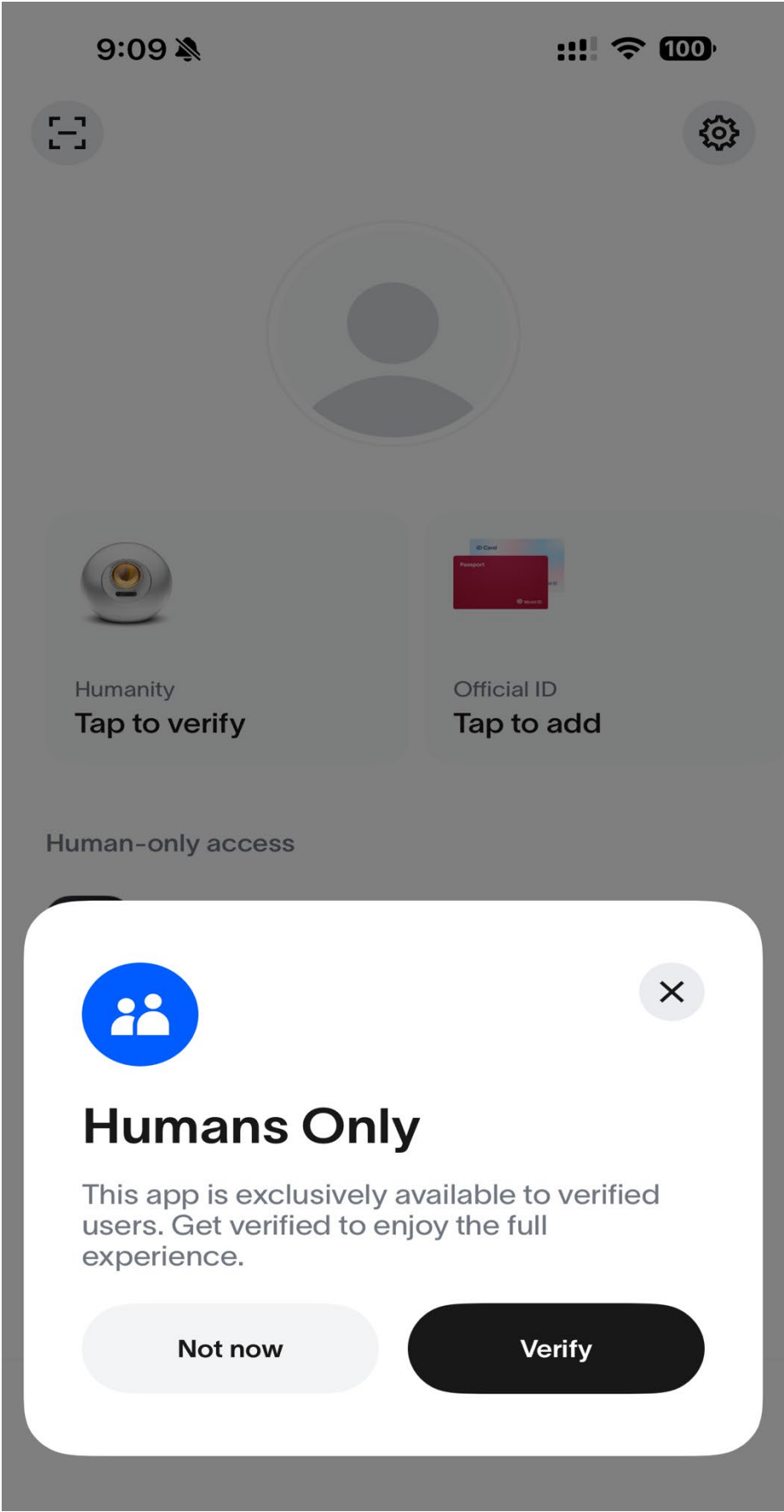
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Annex “A”



Annex “B”



Annex “C”

